Samsung Electronics (005930 KS)

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4Q26 OP estimated at W137.3tn

3Q26 OP comes to W107.5tn

Samsung Electronics' 3Q26 revenue came to W195.3tn (+126.9% YoY, +13.9% QoQ) and OP W107.5tn (OPM 55.0%, +783.6% YoY, +20.1% QoQ), posting record-high earnings for the fourth-straight quarter. Despite the negative forex impact from declines in major currencies (about W10tn QoQ); 2) server-centered price increases across all applications and the expansion of HBM4 sales continued. In 3Q26, DRAM shipments likely rose 3% QoQ and prices 21% QoQ, while NAND shipments grew 4% and prices 18%. Although HBM4 revenue more than tripled QoQ, HBM still accounted for less than 10% of DRAM revenue. As such, we believe that most of earnings improvement was driven by conventional DRAM price hikes.

Maintain BUY and revise up target price to W690,000

We estimate 4Q26 revenue at W258.0tn (+174.9% YoY, +32.1% QoQ) and OP at W137.3tn (OPM 53.2%, +583.8% YoY, +27.7% QoQ), beating the one-month market consensus average (revenue W203.6tn, OP W116.0tn) by 26.7% and 18.4%, respectively. With server demand for new GPUs and CPUs expanding and stronger-than-expected improvements in 1cnm yields boosting bit supply, we expect shipments to increase by 16% for DRAM and 14% QoQ for NAND, and prices to rise by 13% and 14%, respectively. Meanwhile, losses in the Device eXperience (DX) division are expected to widen modestly as cost pressures persist.

Samsung has signed long-term agreements (LTAs) with 10 major customers and is negotiating with another 10. Its 2027 HBM output is also fully sold out at target prices. With supply likely to remain tight through 2028, we believe earnings visibility has improved significantly relative to previous cycles. We estimate 2027 company-wide OP at W749.7tn (+91.5% YoY). Its high capital intensity warrants consideration, given the expected sharp increase in capex from W84.2tn this year to W108.0tn in 2027 and its exposure to the foundry business. Nevertheless, we expect the next shareholder return policy, due to be announced in late Jan 2027, to provide an additional catalyst, supported by the memory business's capacity to generate further FCF. We maintain BUY and revise up our target price to W690,000, applying a target P/B of 3.5x to 2027E BPS.

BUY (M)

Target price	W690,000 (Up)
Previous target price	W630,000
Current price (Oct 29)	W232,000
Upside potential	197%

Market cap (Wbn)	1,356,337
Shares outstanding	6,648,649,811
Avg daily T/O (2M, Wbn)	4,943
Avg daily volume (2M, shrs)	19,595,472
52-week high/low (won)	362,500 / 94,800
Foreign ownership (%)	46.17%
Dividend yield (%)	1.39%
Major shareholders	Samsung Life Insurance & others

Stock performance

(%)	1M	3M	12M
Absolute	(14.9)	11.3	130.8
Relative	(1.5)	6.1	58.7
Abs (US$)	(13.6)	20.4	147.2

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	195,300	126.9	13.9	200,285	-2.5
OP	107,500	783.6	20.1	106,003	1.4
Pre-tax net profit	98,464	626.9	4.3	110,790	-11.1
Net profit, CI	74,700	522.2	4.8	87,398	-14.5
OPM (%)	55.0	+40.9 %pt	+2.8 %pt	52.9	+2.1 %pt
NPM (%)	38.2	+24.2 %pt	-3.4 %pt	43.6	-5.4 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	300,871	333,606	758,643	1,413,948
OP	32,726	43,601	391,482	749,662
Net profit, CI	33,621	44,261	291,065	538,370
P/E (x)	13.2	9.9	4.7	2.5
P/B (x)	1.2	1.1	2.0	1.2
EV/EBITDA (x)	5.2	4.2	2.8	1.0
ROE (%)	9.0	10.8	49.3	52.4

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Samsung Electronics: earnings forecast **(Wbn)**

		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2024	2025	2026E
Sales	**Total**	**79,140**	**74,566**	**86,062**	**93,837**	**133,873**	**171,499**	**195,300**	**257,970**	**300,871**	**333,606**	**758,643**
	YoY	10.0%	0.7%	8.8%	23.8%	69.2%	130.0%	126.9%	174.9%	16.2%	10.9%	127.4%
	QoQ	4.4%	-5.8%	15.4%	9.0%	42.7%	28.1%	13.9%	32.1%	-	-	-
Gross profit	Total	28,131	25,497	33,492	44,251	81,913	119,301	135,300	180,063	114,309	131,370	516,577
	(% of sales)	35.5%	34.2%	38.9%	47.2%	61.2%	69.6%	69.3%	69.8%	38.0%	39.4%	68.1%
Operating profit	**Total**	**6,685**	**4,676**	**12,166**	**20,074**	**57,233**	**89,492**	**107,500**	**137,257**	**32,726**	**43,601**	**391,482**
	(% of sales)	8.4%	6.3%	14.1%	21.4%	42.8%	52.2%	55.0%	53.2%	10.9%	13.1%	51.6%
	YoY	1.2%	-55.2%	32.5%	209.2%	756.1%	1813.8%	783.6%	583.8%	398.7%	33.2%	797.9%
	QoQ	3.0%	-30.1%	160.2%	65.0%	185.1%	56.4%	20.1%	27.7%	-	-	-
Net profit	**Total**	**8,223**	**5,116**	**12,226**	**19,642**	**47,225**	**71,624**	**75,072**	**98,483**	**34,451**	**45,207**	**292,404**
	(% of sales)	10.4%	6.9%	14.2%	20.9%	35.3%	41.8%	38.4%	38.2%	11.5%	13.6%	38.5%
	YoY	21.7%	-48.0%	21.0%	153.3%	474.3%	1299.9%	514.0%	401.4%	122.5%	31.2%	546.8%
	QoQ	6.0%	-37.8%	139.0%	60.7%	140.4%	51.7%	4.8%	31.2%	-	-	-
Semiconductor	Sales	26,055	28,584	33,092	44,000	81,700	131,466	147,100	195,839	112,842	131,731	556,105
	YoY	11.3%	-1.4%	12.3%	42.0%	213.6%	359.9%	344.5%	345.1%	71.1%	16.7%	322.2%
	QoQ	-15.9%	9.7%	15.8%	33.0%	85.7%	60.9%	11.9%	33.1%	-	-	-
	OP	1,082	384	6,103	14,894	52,071	87,363	106,500	137,113	15,155	22,464	383,047
	OPM%	4.2%	1.3%	18.4%	33.8%	63.7%	66.5%	72.4%	70.0%	13.4%	17.1%	68.9%
	YoY	-44.4%	-94.0%	60.7%	396.7%	4710.3%	22624.8	1645.0%	820.6%	TTB	48.2%	1605.2%
	QoQ	-63.9%	-64.5%	1487.5%	144.0%	249.6%	67.8%	21.9%	28.7%	-	-	-
DRAM	Sales	13,282	14,262	18,152	28,076	54,804	87,308	100,832	132,646	53,789	73,772	375,590
	YoY	27.4%	6.0%	28.4%	77.9%	312.6%	512.2%	455.5%	372.4%	101.7%	37.1%	409.1%
	QoQ	-15.8%	7.4%	27.3%	54.7%	95.2%	59.3%	15.5%	31.6%	-	-	-
Bit shipments	*QoQ*	***2.0%***	***11.0%***	***14.0%***	***5.0%***	***0.1%***	***10.0%***	***3.0%***	***16.0%***	-	-	-
ASP	*QoQ*	***-20.0%***	***2.0%***	***14.0%***	***38.0%***	***95.0%***	***40.0%***	***21.0%***	***13.0%***	-	-	-
	OP	3,666	3,494	6,412	14,153	42,885	68,238	80,410	102,680	14,734	27,724	294,212
	OPM (%)	27.6%	24.5%	35.3%	50.4%	78.3%	78.2%	79.7%	77.4%	27.4%	37.6%	78.3%
	YoY	90.1%	-21.3%	76.5%	199.0%	1069.8%	1852.9%	1154.1%	625.5%	TTB	88.2%	961.2%
	QoQ	-22.6%	-4.7%	83.5%	120.7%	203.0%	59.1%	17.8%	27.7%	-	-	-
NAND	Sales	6,772	7,623	8,540	10,819	22,407	37,458	42,597	55,559	32,483	33,754	158,020
	YoY	-7.8%	-12.5%	2.6%	33.5%	230.9%	391.4%	398.8%	413.5%	93.0%	3.9%	368.1%
	QoQ	-16.4%	12.6%	12.0%	26.7%	107.1%	67.2%	13.7%	30.4%	-	-	-
Bit shipments	*QoQ*	***-10.0%***	***29.0%***	***10.0%***	***-8.0%***	***9.0%***	***1.0%***	***4.0%***	***14.0%***	-	-	-
ASP	*QoQ*	***-10.0%***	***-8.0%***	***4.0%***	***29.0%***	***90.0%***	***60.0%***	***18.0%***	***14.0%***	-	-	-
	OP	(3)	(229)	459	1,941	9,936	21,225	28,009	36,433	5,221	2,168	95,603
	OPM (%)	-0.1%	-3.0%	5.4%	17.9%	44.3%	56.7%	65.8%	65.6%	16.1%	6.4%	60.5%
	YoY	TTR	TTR	-72.4%	432.2%	TTB	TTB	5995.9%	1777.1%	TTB	-58.5%	4309.1%
	QoQ	TTR	RR	TTB	322.4%	411.9%	113.6%	32.0%	30.1%	-	-	-

Note: TTB = turn to black, TTR = turn to red, RR = remain in red
Source: Yuanta Securities

Samsung Electronics: target price calculation											(won, x)
	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E
Adj BPS (ex non-controlling interest)	28,971	35,342	37,528	39,406	43,611	50,817	52,002	57,930	63,976	116,350	199,080
P/B (end)	1.76	1.10	1.49	2.06	1.80	1.09	1.51	0.92	1.87	2.08	1.22
P/B (high)	1.99	1.53	1.53	2.06	2.22	1.57	1.51	1.53	1.89	3.22	1.88
P/B (low)	1.23	1.08	0.98	1.07	1.57	1.02	1.05	0.86	0.79	1.03	0.60
P/B (avg)	1.60	1.33	1.24	1.45	1.82	1.26	1.30	1.24	1.12	2.03	1.19
Target P/B											**3.5**
Target price										**690,000**	696,781
Close price (Oct 28)										232,000	
Upside potential										**197%**	

Source: Yuanta Securities

Samsung Electronics 3Q26 earnings call: Q&A

1. What is the outlook for the memory market in 2028?

- Memory demand is likely to remain unprecedentedly strong in 2027 as competition to build AI infrastructure intensifies and personal AI agents become more widespread. Supply will likely remain tight, however, as capacity additions are unlikely to translate into a rapid increase in bit output. Taken together, forecasts from various market research firms suggest that tight supply-demand conditions will persist in 2028.

- Industry capex is expected to rise sharply in 2027, supported by strong earnings in 2026, but translating this into higher bit output in 2028 will be difficult. A substantial portion of incremental construction spending will go toward securing new fab space, while higher construction costs per unit of space make the increase appear larger. Given the long lead time from the start of construction to wafer production, the actual contribution to bit output in 2028 should be limited. Equipment spending is similarly inflated by supply-constrained price increases and advance payments, while longer order lead times are expected to constrain memory suppliers' production ramps.

- HBM4E and HBM5 feature larger dies and significantly more metal layers than their predecessors. As a result, producing HBM will displace a greater amount of conventional DRAM bit output, inevitably limiting overall bit supply growth. Nevertheless, taking macroeconomic and other variables into account, Samsung plans to maintain its approach of securing cleanroom space through proactive infrastructure investment, then adjusting equipment installations flexibly as demand evolves.

2. What is the progress on LTAs, and have there been any changes?

- Samsung has signed LTAs with 10 major customers and is negotiating with another 10 as more customers seek to secure long-term supply. Negotiations with some customers are nearing completion. The customer base is also broadening beyond companies directly involved in AI, such as hyperscalers, server OEMs, and SoC vendors, to include mobile, automotive, and networking customers. This provides greater visibility on achieving the target of placing 60-70% of capacity under LTAs through 2030.

- LTAs operate on a rolling basis, with annual negotiations extending their duration beyond the initial contract period. Discussions on extensions with some existing customers are nearing completion, and demand for these additional periods has significantly exceeded initial expectations. Samsung has also received requests for additional supply within existing contract periods. However, with limited available volumes, it is reviewing various supply options, including adjustments to the product mix across applications.

3. What is the status of the HBM business and negotiations for 2027 supply?

- HBM4 sales more than tripled QoQ in 3Q26, with HBM4's share of total HBM sales rising to approximately 60%, in line with the sales target outlined on the previous earnings call. Samsung believes it has already achieved its goal of bringing its HBM market share into line with its overall DRAM market share in 3Q26, ahead of the end of the second half. Following the world's first sample shipments in May, next-generation HBM4E has received positive customer feedback in initial evaluations.

- Negotiations for 2027 HBM supply have been completed at target prices reflecting product competitiveness, and planned output is already fully sold out. Major customers continue to request additional volumes. Samsung plans to reinforce its HBM market leadership by drawing on its leading technology and mass-production capabilities to deliver the products customers need on time.

4. What is the outlook for NAND demand as agentic AI adoption expands?

- Meaningful demand growth is emerging in server SSDs as agentic AI adoption expands, affecting NAND demand in two ways. First, agentic AI generates KV caches much faster during computation than conventional chatbot services, creating additional demand for high-performance, high-capacity TLC SSDs. Second, the introduction of cloud-based personal AI agent services is driving a shift toward allocating physical storage to each virtual user in the cloud. QLC SSDs are increasingly preferred to prevent service latency and improve throughput. Demand for QLC SSDs is therefore expected to grow in proportion to the number of personal AI agent users.

- Our bonding technology-based V10 TLC product completed mass production readiness in 3Q26, and our 256TB product utilizing 32-stack technology based on V9 2Tb QLC is slated for commercialization in early 2027. In the agentic AI era, we plan to enhance competitiveness by providing customized solutions not only in HBM and server DRAM but also in storage.

5. What is the status of order wins from major clients for advanced foundry nodes?

- Following 2Q26, we continue to expand new advanced node orders in 3Q26 by securing 2nm project orders from major CSPs and AI/HPC clients. In particular, 2nm orders grew sharply, with the number of 2nm order projects this year expected to more than double YoY.

- We plan to establish a stable business portfolio by strengthening strategic partnerships with large advanced node clients based on mid- to long-term LTAs. Along with application diversification, solid growth in AI/HPC demand will likely drive up the portion of HPC in total revenue in 2027 to over 50%

6. Are there plans for additional domestic/overseas capacity expansions amid growing foundry orders?

- Currently, the pace of advanced node capacity expansion is not keeping up with actual demand growth. To respond in a timely manner to surging 2nm AI/HPC market and customer demand, we plan to expand investments in new fabs in the US and Korea. By building out not only logic capacity but also advanced package capacity in a timely manner, we plan to strengthen our market responsiveness in the AI era based on an integrated ecosystem spanning ultra-fine nodes to packaging.

- Taylor Fab 1 in the US has begun cleanroom operations and equipment move-in, and is proceeding on schedule with wafer starts for line setup and the dispatch of specialized personnel from headquarters. We are also reviewing capacity expansion measures including additional fab construction to meet global customer demand.

7. What is the technology roadmap for advanced/mature foundry nodes and what are your technical differentiators?

- For advanced nodes, we are expanding our 2nm portfolio beyond mobile applications into high-performance computing. Follow-on 2nm nodes are being developed to improve performance and power efficiency centered on design technology co-optimization (DTCO), while utilizing existing infrastructure. For our most advanced 1.4nm node, we are in discussions with multiple clients, and are closely collaborating with some customers including finalizing test chip development. For mature nodes, we are continuously rationalizing low-margin and idle nodes, while identifying high value-added specialty businesses with high technical barriers.

- Synergies between foundry and memory are our core differentiator. Through collaboration between the two businesses, we developed a 4nm-based HBM4 base die that contributed to realizing industry-leading HBM performance, and achieved the highest base die yield in the industry despite being in the early stage of mass production. We are also accelerating silicon capacitor development based on our expertise in memory dielectric film technology, and are receiving large volume requests from multiple key customers.

8. What is your hedging strategy and management direction regarding won appreciation?

- Amid expanding volatility in major currencies, we are closely monitoring the impact of forex changes on operating results and financial positions. Rather than artificial hedging through high-cost derivatives, we are focusing on structurally minimizing forex volatility based on a natural hedging system across our global value chain. This is because fully hedging hundreds of trillions of won in annual dollar receivables via derivatives including forex forwards could not only shock the forex market, but also incur massive opportunity costs from transaction fees alone.

- Through natural hedging including matching inflow and outflow currencies, and aligning asset/liability scales by currency, we suppress the occurrence of open forex positions as much as possible, and manage any remaining forex positions to minimize the exposure period. We plan to systemically manage forex risks under this strategy to minimize uncertainty in operating results going forward.

Samsung Electronics (005930 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**300,871**	**333,606**	**758,643**	**1,413,948**	**1,640,180**
Cost of sales	186,562	202,236	242,066	424,079	524,858
Gross profit	114,309	131,370	516,577	989,870	1,115,322
SG&A	81,583	87,769	125,095	240,208	328,036
Operating profit	**32,726**	**43,601**	**391,482**	**749,662**	**787,286**
EBITDA	75,357	90,528	443,480	805,154	854,213
Non-operating profit	4,804	5,880	939	23,270	41,251
Forex gains	-363	16	1,689	792	792
Net interest income	3,915	3,987	6,380	18,078	36,060
Equity-method gains	751	683	-10,962	956	956
Other	501	1,194	3,832	3,443	3,443
Net prof before income tax	37,530	49,481	392,421	772,931	828,538
Income tax	3,078	4,275	100,017	231,879	207,134
Net profit from continuing ops	34,451	45,207	292,404	541,052	621,403
Net profit from discontinued ops	0	0	0	0	0
Net profit	34,451	45,207	292,404	541,052	621,403
NP for controlling interest	**33,621**	**44,261**	**291,065**	**538,370**	**618,323**
Total comprehensive income	51,296	51,291	325,480	552,369	632,720
Total comprehensive income, CI	50,048	49,904	319,976	542,311	621,199

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**227,062**	**247,685**	**541,359**	**1,109,909**	**1,713,406**
Cash & cash equivalents	53,706	57,856	108,861	427,619	928,847
Accounts receivables & other	53,246	58,609	161,123	254,190	287,970
Inventory	51,755	52,637	55,368	87,349	101,325
Non-current assets	287,470	319,257	429,559	503,936	566,567
Tangible assets	205,945	215,305	252,459	308,094	363,942
Investment in affiliates	12,592	13,772	37,861	59,730	69,287
Other investment assets	11,757	17,576	39,348	39,348	39,348
Total assets	**514,532**	**566,942**	**970,919**	**1,613,846**	**2,279,973**
Current liabilities	93,326	106,411	146,828	223,023	256,320
Accounts payable & other	61,523	68,114	78,182	123,341	143,076
ST financial liabilities	13,173	17,575	13,710	13,710	13,710
Liquid LT liabilities	2,207	1,178	1,206	1,206	1,206
Non-current liabilities	19,014	24,210	51,324	76,642	87,706
LT financial liabilities	7	2,806	3,606	3,606	3,606
Debentures	15	7	8	8	8
Total liabilities	**112,340**	**130,622**	**198,152**	**299,664**	**344,025**
Equity, controlling interest	391,688	424,313	757,662	1,296,395	1,915,081
Paid-in capital	898	898	898	898	898
Capital surplus	4,404	4,404	4,404	4,404	4,404
Retained earnings	370,513	402,136	676,925	1,204,341	1,811,711
Equity, non-controlling interest	10,504	12,007	15,105	17,787	20,867
Total equity	**402,192**	**436,320**	**772,767**	**1,314,182**	**1,935,948**
Net debt	**-93,322**	**-100,608**	**-273,342**	**-700,024**	**-1,248,415**
Total debt	19,330	25,239	22,409	22,409	22,409

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**72,983**	**85,315**	**382,286**	**643,634**	**794,361**
Net profit	34,451	45,207	292,404	541,052	621,403
Depreciation & amortization	39,650	43,606	48,507	52,365	64,152
Forex gains	0	0	-243	-792	-792
Affiliate investment gains	-751	-683	10,962	-956	-956
Increase in net working cap	-1,568	-9,614	-29,415	7,883	66,824
Other	1,200	6,799	60,071	44,083	43,729
Investing cash flow	**-85,382**	**-68,512**	**-254,066**	**-232,847**	**-171,773**
Investment	1,075	411	-23,414	-21,869	-9,557
Increase in tangible assets	-51,406	-47,522	-84,235	-108,000	-120,000
Decrease in tangible assets	156	150	153	0	0
Other	-35,207	-21,551	-146,571	-102,978	-42,216
Financing cash flow	**-7,797**	**-13,478**	**-28,208**	**-10,954**	**-10,954**
ST financial liabilities	6,058	4,402	-3,865	0	0
Debenture/LT financial liabilities	586	1,506	1,034	0	0
Equity	0	0	0	0	0
Cash dividend	-10,889	-9,897	-11,090	-10,954	-10,954
Other cash flow	-3,553	-9,490	-14,287	0	0
Consolidation adj and other	4,821	826	-49,007	-81,075	-110,406
Increase in cash & equivalents	**-15,375**	**4,151**	**51,005**	**318,758**	**501,228**
Beginning cash & equivalents	69,081	53,706	57,856	108,861	427,619
Ending cash & equivalents	53,706	57,856	108,861	427,619	928,847
NOPLAT	32,726	43,601	**391,482**	**749,662**	**787,286**
FCF	**21,576**	**37,793**	**298,051**	**535,634**	**674,361**

Valuation

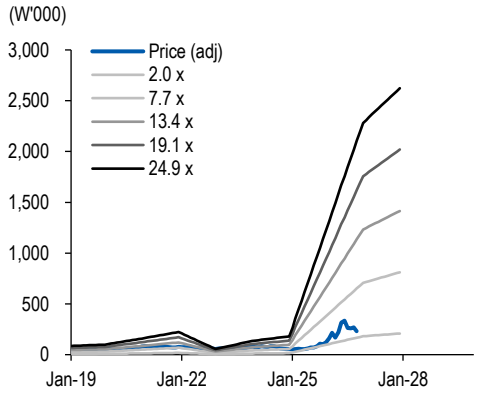
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	5,433	7,241	49,399	91,857	105,533
BPS (won)	57,981	63,997	116,350	199,080	294,088
EBITDA/shr (won)	11,094	13,425	66,483	121,100	128,479
SPS (won)	44,293	49,471	113,730	212,667	246,694
DPS (won)	1,446	1,668	1,682	1,682	1,682
P/E (x)	**13.2**	**9.9**	**4.7**	**2.5**	**2.2**
P/B (x)	**1.2**	**1.1**	**2.0**	**1.2**	**0.8**
EV/EBITDA (x)	**5.2**	**4.2**	**2.8**	**1.0**	**0.3**
P/S (x)	**1.6**	**1.4**	**2.0**	**1.1**	**0.9**

Key financial data

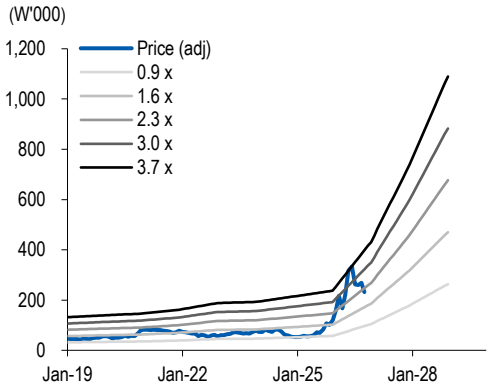
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**16.2**	**10.9**	**127.4**	**86.4**	**16.0**
Operating profit (%YoY)	**398.3**	**33.2**	**797.9**	**91.5**	**5.0**
Net profit, CI (%YoY)	**132.3**	**31.6**	**557.6**	**85.0**	**14.9**
Gross margin (%)	38.0	39.4	68.1	70.0	68.0
Operating margin (%)	**10.9**	**13.1**	**51.6**	**53.0**	**48.0**
Net margin, CI (%)	11.2	13.3	38.4	38.1	37.7
EBITDA margin (%)	25.0	27.1	58.5	56.9	52.1
ROIC (%)	11.7	14.6	88.8	116.1	107.6
ROA (%)	6.9	8.2	37.9	41.7	31.8
ROE (%)	**9.0**	**10.8**	**49.3**	**52.4**	**38.5**
Debt-to-equity (%)	27.9	29.9	25.6	22.8	17.8
Net debt-to-equity (%)	-23.8	-23.7	-36.1	-54.0	-65.2
OP/financing cost (x)	36.2	72.0	475.1	1,073.0	1,126.8

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

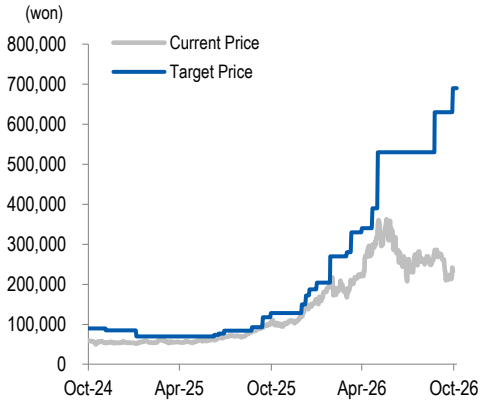
P/E band chart



P/B band chart



Samsung Electronics (005930 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/29	BUY	690,000	1 yr		
2026/09/23	BUY	630,000	1 yr	-61.71	-56.19
2026/06/01	BUY	530,000	1 yr	-47.30	-31.60
2026/05/21	BUY	390,000	1 yr	-22.31	-18.72
2026/04/30	BUY	340,000	1 yr	-19.46	-12.94
2026/04/09	BUY	330,000	1 yr	-34.51	-31.52
2026/03/31	BUY	280,000	1 yr	-31.29	-24.82
2026/02/26	BUY	270,000	1 yr	-29.83	-19.81
2026/01/08	BUY	172,000	1 yr	-19.23	-18.43

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 30, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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